Larkspur Industry Insights
Sector research for credit and investment teams

Residential aged care in Australia

Sector report, Q3 2026

Reference: LII-SR-0926-AC
Date: September 2026

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Key points

- The new Aged Care Act commenced on 1 November 2025, with stronger quality standards and changes to accommodation pricing.
- National occupancy has recovered to 90.6%, the highest since 2019.
- Funding through the AN-ACC model has improved operator margins since 2023, but labour costs remain the main pressure.

Figure 1. Residential aged care occupancy (%)

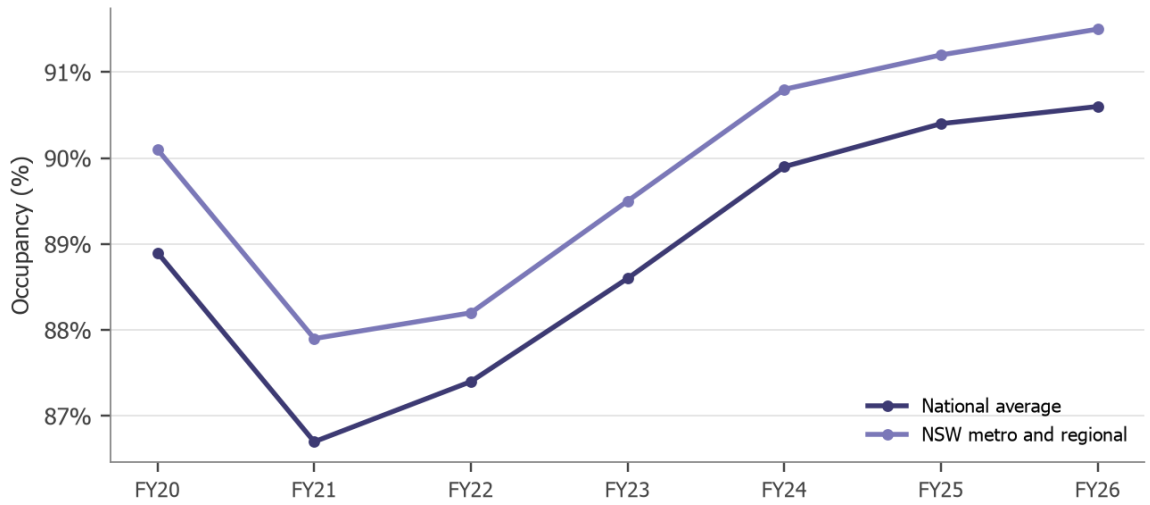


Figure 1. Occupancy. Source: Larkspur analysis of government data.

Credit view

We see larger operators with strong compliance records as best placed. Lenders should focus on occupancy, staffing costs and the liquidity of refundable accommodation deposits, which can be withdrawn at short notice if confidence in an operator falls.